

# **THE BALOCHISTAN FINANCE ACT, 2020**

**(Baln Act I of 2020)**

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# **<sup>1</sup>THE BALOCHISTAN FINANCE ACT, 2020**

**(BALN. ACT NO. I of 2020)**

[15<sup>th</sup> September 2020]

**AN ACT** to continue and revise certain taxes and fees and enacting the law of public finance management in the Province of Balochistan.

## **Preamble.**

Whereas it is expedient to continue and revise certain taxes, fees and public finance management in Balochistan Province and for the matters connected therewith or ancillary thereto;

It is hereby enacted as follows: —

## **Short title, extent and commencement.**

**1.** (1) This Act may be called the Balochistan Finance Act, 2020.

(2) It extends to the whole of Balochistan.

(3) Unless otherwise provided, it shall deem to have come into force on and from the first day of July, 2020.

## **Enactment of Balochistan Public Finance Management Act, 2020.**

**2.** It is hereby enacted the Balochistan Public Finance Management Act, 2020, in the manner as follows: —

**AN ACT** to strengthen management of public finances with the view to improve definition and implementation of fiscal policy for better macroeconomic management, to clarify institutional responsibilities related to financial management, and to strengthen budgetary management;

WHEREAS, matters mentioned above are

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<sup>1</sup> This Act was passed by the Provincial Assembly of Balochistan on 29<sup>th</sup> June 2020, assented to by the Governor of Balochistan on 15<sup>th</sup> July 2020, and first published in the Balochistan Gazette (Extraordinary) No. 94, dated 15<sup>th</sup> July 2020.

pivotal for reducing public debt and management of public finances;

**AND WHEREAS** as defined under Article 119 of the Constitution of the Islamic Republic of Pakistan, 1973<sup>1</sup> it is expedient to provide for regulating the custody of the Provincial Consolidated Fund, the payment of moneys into that Fund, the withdrawal of moneys therefrom, the custody of other moneys received by or on behalf of the Government, their payment into, and withdrawal from, the Public Account of the Province, and all matters connected therewith or ancillary thereto;

**AND WHEREAS** to give elaborate mechanism of public finance management as envisaged in Articles 118 to 127 and 160 to 171 of the Constitution and to guide budgetary management processes, financial and fiscal controls, cash and banking arrangements, and financial oversight of public entities;

It is hereby enacted as follows: —

## **CHAPTER I PRELIMINARY**

### **Short title, application and commencement.**

**1.** (1) This Act may be called the Balochistan Public Finance Management Act, 2020.

(2) It shall apply to all matters of the Provincial Consolidated Fund and Public Account of the Province and all other matters of the Government connected therewith or ancillary thereto.

(3) It shall come into force at once.

### **Definitions.**

**2.** In this Act, unless there is anything repugnant in the subject or context, —

(a) **“Appropriation”** means the, assignment to meet specified expenditure of funds at

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<sup>1</sup> Constitution of the Islamic Republic of Pakistan 1973; enacted on 10<sup>th</sup> April 1973, and authenticated by the Assembly on 12<sup>th</sup> April, 1973, published on the same day in the official Gazette of Pakistan; and came into force with effect from 14<sup>th</sup> August 1973.

the disposal of the assigning authority;

- (b) **“Auditor-General”** means Auditor-General of Pakistan appointed under Article 168 of the Constitution;
  - (c) **“Authorization of Expenditure”** means payments and withdrawals from the Provincial Consolidated Fund and Public Account of the Province against approved budgetary provisions deemed to be duly authorized unless it is specified in the schedule of authorized expenditure;
  - (d) **“Bank”** means the State Bank of Pakistan or any office or agency of the State Bank of Pakistan and includes any bank acting as an agent of the State Bank of Pakistan in accordance with the provisions of the State Bank of Pakistan Act, 1956 (XXXIII of 1956);
- <sup>1</sup>[(da) **“Budget Grant or Grant”** means the amount granted or deemed to have been granted by the Provincial Assembly in respect of a demand for grant;
- (db) **“Charged Expenditure or Expenditure Charged upon the Provincial Consolidated Fund”** means such items of expenditure as are enumerated in Article 121 of the Constitution and are not submitted to vote in the Provincial Assembly under Article 122 (1) of the Constitution;]
- <sup>2</sup>[(dc) **“Chief Finance Officers and Junior Finance Officers”** the positions of Chief Finance Officers and Junior Finance

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<sup>1</sup> New clauses (da) and (db) inserted by Balochistan Finance Act No. XVI of 2021, passed by the Provincial Assembly of Balochistan on 25<sup>th</sup> May 2021, assented to by the Governor Balochistan, on 30<sup>th</sup> May 2021, and published in Gazette (Extraordinary) No. 98, dated 31<sup>st</sup> May 2021.

<sup>2</sup> A new clause (dc) inserted by the Balochistan Finance Act No. XVIII of 2025, which was passed by the Provincial Assembly of Balochistan on 25<sup>th</sup> June 2025, assented to by the Governor Balochistan on 27<sup>th</sup> June 2025, and published in Gazette (Extraordinary) No. 93, dated 27<sup>th</sup> June 2025.

Officers shall be created within Finance Department having distinct roles, responsibilities functions, term & condition may be prescribe as referred to in Section 26B.]

- (e) **“Commitment”** means an obligation to make a future payment, the funds for which are reserved against the allocated budget of an entity during the current financial year where the unutilized amount will lapse at the close of financial year and is subject to re-allocation for the following financial year;
- (f) **“Constitution”** means the Constitution of the Islamic Republic of Pakistan, 1973<sup>1</sup>;
- (g) **“Controller General of Accounts”** means the person appointed under the Controller General of Accounts (Appointment, Functions and Powers) Ordinance, 2001 (XXIV of 2001);
- <sup>2</sup>[(ga) **“Demand for Grant”** means a proposal made to the Provincial Assembly on the recommendation of the Government for withdrawal of certain sum out of Provincial Consolidated Fund for expenditure which is granted or deemed to have been granted under Article 122, of the Constitution;
- (gb) **“Development Project”** means a project or scheme or program involving developmental expenditure;
- (gc) **“Pre-Audit”** means and include a process whereby the concerned Accounts Office

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<sup>1</sup> Constitution of the Islamic Republic of Pakistan 1973; enacted on 10<sup>th</sup> April, 1973 and authenticated by the Assembly on 12<sup>th</sup> April, 1973; published on the same day in the official Gazette of Pakistan; and came into force with effect from 14<sup>th</sup> August, 1973.

<sup>2</sup> New clauses (ga), (gb), (gc) and (gd) inserted by Balochistan Finance Act No. XVI of 2021, passed by the Provincial Assembly of Balochistan on 25<sup>th</sup> May 2021, assented to by the Governor Balochistan, on 30<sup>th</sup> May 2021, and published in Gazette (Extraordinary) No. 98, dated 31<sup>st</sup> May 2021.



or the officer as stated in section 32, ensures that all the applicable laws relating to any certain transaction have been complied with, before the occurrence of transaction, by the concerned Principal Accounting Officer (PAO) or any of its authorized subordinate officer, to whom such financial powers have been delegated from the Government;

- (gd) **“Provincial Assembly”** means the Provincial Assembly of Balochistan;]
- (h) **“Provincial Consolidated Fund”** means the Provincial Consolidated Fund of the Government of Balochistan created under Article 118 of the Constitution;
- (i) **“Financial Propriety”** means the compliance of law, rules, regulations, maintaining high standard of prudence, vigilance, due diligence and ensuring value for money while incurring expenditure and collecting government receipts;
- (j) **“Financial Year”** means the financial year as defined under Article 260 of the constitution;
- (k) **“Government”** means the Government of Balochistan;
- (l) **“medium-term”** means budgetary estimates for a rolling three-year budgetary horizon. This includes current estimates, which are to be appropriated by Provincial Assembly, and two additional or "outer" years' estimates;
- (m) **“Outcomes”** means the effects of outputs on targeted audience;

- (n) **“Outputs”** means service delivered;
- (o) **“Prescribed”** means prescribed by rules<sup>1</sup>[or regulations] made under this Act;
- (p) **“Principal Accounting Officer”** means the secretary of a Department or any official notified as principal accounting officer, responsible for exercising financial propriety in management of public funds and having accountability to Provincial Assembly for the economic, efficient and effective use of resources.

*[Explanation. — The term "secretary" shall include the additional chief secretary, principal secretary, secretary or acting secretary to the Government of Balochistan in charge of a department and where there is no secretary, the special secretary or additional secretary in charge of a department];*

- (q) **“Public Account”** means the Public Account of the Province as defined under Article 118(2) of the Constitution <sup>2</sup>[\*\*\*\*\*]  
;
- (r) **“Public Moneys”** mean the moneys forming part of the Provincial Consolidated Fund and the Public Account of the Province;
- (s) **“Public Servant”** means a public servant within the meaning of section 21 of the Pakistan Penal Code (Act XLV of 1860);
- (t) **“Re-Appropriation”** means transfer of funds from one head of account of appropriation to another such head of

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<sup>1</sup> Inserted the words by Balochistan Finance Act No. XVI of 2021, passed by the Provincial Assembly of Balochistan on 25<sup>th</sup> May 2021, assented to by the Governor Balochistan, on 30<sup>th</sup> May 2021, and published in Gazette (Extraordinary) No. 98, dated 31<sup>st</sup> May 2021.

<sup>2</sup> Omitted the words by Balochistan Finance Act No. XVI of 2021, passed by the Provincial Assembly of Balochistan on 25<sup>th</sup> May 2021, assented to by the Governor Balochistan, on 30<sup>th</sup> May 2021, and published in Gazette (Extraordinary) No. 98, dated 31<sup>st</sup> May 2021.

account within the same budget grant;

<sup>1</sup>[(ta) **“Regulations”** means the regulations framed under this Act and the rules made thereunder;

(tb) **“Rules”** means the rules made under this Act;

(tc) **“Schedule of Authorized Expenditure”** means the Schedule prepared following consideration by the Provincial Assembly of the Annual or Supplementary or Excess Budget Statement in respect of a financial year and authenticated by the Chief Minister by his signature under Article 123, of the Constitution;]

(u) **“Supplementary Grant”** means budget grant within the meaning of Article 124 of the Constitution;

(v) **“Technical Supplementary Grant”** means surrender of funds from one budget grant and supplementary budget authorization in another grant. Technical supplementary grant shall not result in increase of overall government expenditure;

(w) **“Tax Expenditure”** means the revenue which Government foregoes through the provisions of tax laws that allows deductions, exclusions or exceptions, exemptions from the taxpayer's taxable expenditure income or investment, deferral of a tax liability or preferential tax rates;

<sup>2</sup>[(wa) **“Technical Approval”** means approval accorded by the competent forum to a

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<sup>1</sup> New clauses (ta), (tb) and (tc) inserted by Balochistan Finance Act No. XVI of 2021, which was passed by the Provincial Assembly of Balochistan on 25<sup>th</sup> May 2021, assented to by the Governor Balochistan, on 30<sup>th</sup> May 2021, and published in Gazette (Extraordinary) No. 98, dated 31<sup>st</sup> May 2021.

<sup>2</sup> A new clause (wa) inserted by *ibid*.

PC-1 / PC-II which are compliant with the standards and procedures set by the Planning Commission of Pakistan and Planning & Development Department, Government of Balochistan;]

- (x) **“Treasury Single Account”** means the Provincial Consolidated Fund Account with a banking arrangement for the consolidation of government financial resources in one bank account or multiple bank accounts linked to one main account through which the government transacts all its receipts and payments; and
- (y) **“Voted Expenditure”** means expenditure other than the charged expenditure specified in the annual budget statement referred to in Article 122(2) of the Constitution.

## **CHAPTER II**

### **BUDGET MANAGEMENT**

#### **BUDGET PREPARATION AND PRESENTATION**

#### **Budget Strategy Paper.**

3. (1) The Government shall approve the annual budget strategy paper containing quantified macroeconomic and fiscal projections for the medium-term by fifteenth of March of each year. The paper shall indicate strategic priorities of the Government revenue and spending policies and specify indicative levels of spending in various Sectors and Departments. Upon approval of the paper, the Finance Department shall issue indicative budget ceilings to various Sectors and Departments.

(2) The Government may extend the deadline mentioned in sub-section (1) in case of extreme requirement.

#### **Annual Budget**

4. (1) The Government shall, in respect of every

**Statement.** financial year, cause to be laid before the Provincial Assembly, Annual Budget Statement consistent with Articles 120 and 121 of the Constitution including a statement of the purpose and estimates divided into detailed items for each item of receipts and demand for grant.

(2) Each item of receipts and Demand for grant shall indicate budget estimates of the ensuing year, initial budget estimates and revised estimates of outgoing year and actual expenditure of year Prior to outgoing year.

**Plan based  
Government's  
Expenditure  
Estimates.**

5. All government expenditures, whether from a recurrent or development demand for grant, shall be based on well-defined plans.

**Grant-in-aid.**

6. The Government may approve grant-in-aid for individual, public and private institutions, local bodies and other non-political institutions and associations as it may consider appropriate in the manner as may be prescribed.

**Receipt of Grants  
and Loans by the  
Government.**

7. (1) Grants or a loan made to the Government by a federal government or foreign Donor Agency through Economic Affairs Division or by any other person shall be received by the Finance Department on behalf of the Government.

(2) The Planning and Development Department <sup>1</sup>[and the Finance Department] may, with the approval of Government, enter into grant and loan agreements with donor agencies in collaboration with representatives of concerned departments.

<sup>2</sup>[(3) The Government shall approve rules, regulations or such policy instrument as debt management strategy to steer, manage and/or

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<sup>1</sup> Inserted the words by the Balochistan Finance Act No. XVIII of 2025, which was passed by the Provincial Assembly of Balochistan on 25<sup>th</sup> June 2025, and assented to by the Governor Balochistan on 27<sup>th</sup> June 2025, and published in Gazette (Extraordinary) No. 93, dated 27<sup>th</sup> June 2025.

<sup>2</sup> Substituted the sub-section (3) (see *ibid.*).

control the entry into loan or grant; and, the functional, institutional or methodical means of consequential utilization of such loan and/or grant as specified in Subsection 2 above.]

<sup>1</sup>[7A. Notwithstanding anything contained in any other law, the Finance Department may, with the approval of Government, take any appropriate action for management, including improving the respective legal framework, making strategies and policies for increasing revenues, automation or any other relevant action, as deemed necessary of provincial revenues.]

**Tax Expenditure.** 8. The Government shall, in respect of every financial year cause to be laid before the Provincial Assembly, Finance Bill consistent with Article 115 of the Constitution including a statement of estimated tax expenditure of the Government.

**Mode of Budgeting.** 9. The Government shall, in respect of every financial year, cause to be laid before the Provincial Assembly a budget including the Annual Budget Statement based on any reasonable approach of budgeting as it may deem appropriate.

**Changes in Schedule of Authorized Expenditure.** 10. If in respect of any financial year it is found —

- (a) that the amount authorized to be expended for a particular service for the current financial year is insufficient, or that a need has arisen for expenditure upon some new service not included in the Annual Budget Statement for that year; *or*
- (b) that any money has been spent on any service during a financial year in excess of the amount granted for that service for

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<sup>1</sup> A new section 7A inserted by the Balochistan Finance Act No. XXI of 2021, passed by the Provincial Assembly of Balochistan on 25<sup>th</sup> June 2021, and assented to by the Governor Balochistan, on 29<sup>th</sup> June 2021.

that year,

the Government shall have power, as prescribed, to authorize expenditure from the Provincial Consolidated Fund, whether the expenditure is charged by the Constitution upon that Fund or not, and shall cause to be laid before the Provincial Assembly a Supplementary Budget Statement or, as the case may be, an Excess Budget Statement, setting out the amount of that expenditure, and the provisions of Articles 120 to 123 shall apply to those statements as they apply to the Annual Budget Statement.

**Re-appropriation  
of Funds.**

11. Principal Accounting Officers may sanction, in consultation with Finance Department, at any time before the close of the financial year, re-appropriation of funds from one detailed expenditure item to another within a budget grant in the manner and subject to such conditions and limitations, as may be prescribed.

**Surrender of  
Savings.**

12. (1) All Departments, their attached departments and sub-ordinate offices and autonomous organizations shall surrender to the Finance Department by 15th May each year all anticipated savings in the grants or assignment accounts or grant-in-aid controlled by them.

[*Explanation:* In case of autonomous organizations, surrender of any savings from their grant-in-aid are subject to provisions of their respective enactments.]

(2) The Finance Department shall communicate the acceptance of such surrenders before close of the financial year and where requirement is justified, shall provide for equivalent amount in the next financial year budget.

**CHAPTER III  
DEVELOPMENT PROJECTS AND MAINTENANCE**

## AND USE OF PUBLIC ASSETS

### **<sup>1</sup>[Conception and Preparation of Development Projects.**

13. (1) All development projects may be conceived and prepared as per the applicable planning and development processes and templates.

(2) All development project proposals, in excess of a threshold size prescribed by the Planning and Development Department, may undergo a feasibility study.]

### **Quality Assurance.**

14. Development project proposals which exceed in their total cost thresholds defined by the Planning and Development Department <sup>2</sup>[may] be subject to clearance by a committee of experts, aimed to ensure quality assurance, to be notified by the planning and development department prior to its placement before the relevant competent forum for approval.

### **<sup>3</sup>[Technical Approval.**

15. (1) All development project proposals shall be subject to a relevant technical approval process from the fora.

(2) The Provincial Development Working Party (PDWP) shall have the powers to rectify errors in all provincially funded development projects other than change in cost, scope or shifting of a project from one location or site to another location or site.]

### **Inclusion of Development Projects in**

16. <sup>4</sup>[Within a period not exceeding <sup>5</sup>[five] years from the date of promulgation of this Act,] no development project shall be considered for inclusion

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<sup>1</sup> Substituted the section 13 by Balochistan Finance Act No. XVI of 2021, which was passed by the Provincial Assembly of Balochistan on 25<sup>th</sup> May 2021, assented to by the Governor Balochistan, on 30<sup>th</sup> May 2021, and published in Gazette (Extraordinary) No. 98, dated 31<sup>st</sup> May 2021.

<sup>2</sup> Substituted the word “shall” (see *ibid.*).

<sup>3</sup> Substituted section 15 by Balochistan Finance Act No. XVI of 2021, which was passed by the Provincial Assembly of Balochistan on 25<sup>th</sup> May 2021, assented to by the Governor Balochistan, on 30<sup>th</sup> May 2021, and published in Gazette (Extraordinary) No. 98, dated 31<sup>st</sup> May 2021.

<sup>4</sup> Inserted the words and a comma (see *ibid.*).

<sup>5</sup> Substituted the word “two” by Balochistan Finance Act No. IV of 2023, which was passed by the Provincial Assembly of Balochistan on 09<sup>th</sup> June 2023, assented to by the Governor Balochistan, on 12<sup>th</sup> June 2023, and published in Gazette (Extraordinary) No. 74, dated 12<sup>th</sup> June 2023, later on substituted the word “three” by the Balochistan Finance Act No. I of 2024, which was passed by the Provincial Assembly of Balochistan on 29<sup>th</sup> June 2024, and assented to by the Governor Balochistan, on 29<sup>th</sup> June 2024, and now substituted the word “four” by the Balochistan Finance Act No XVIII of 2025, passed by the Provincial Assembly of Balochistan on 25<sup>th</sup> June 2025, and assented to by the Governor Balochistan on 27<sup>th</sup> June 2025, and published in Gazette (Extraordinary) No. 93, dated 27<sup>th</sup> June 2025.



**Demands for Grants.**

in demands for grants that has not been granted technical approval.

(2) No development project shall be considered for inclusion in demands for grants unless it is provided with a budget allocation of <sup>1</sup>[by the government for] of its <sup>2</sup>[operating cost] for the coming year.

**<sup>3</sup>[Monitoring and Evaluation of Development Projects.**

17. (1) Development Projects shall be subject to the Monitoring and Evaluation processes as per the Planning and Development Department guidelines.]

- (a) monitoring of progress during implementation;
- (b) evaluation of the project on completion; *and*
- (c) in case of the projects with a total cost exceeding a threshold to be set by the Planning and Development Department, an independent impact assessment within five years after completion of the projects.

(2) Timelines, forms and formats and guidance on conducting monitoring and evaluation and reporting shall be as may be prescribed.

18. <sup>4</sup>[\*\*\*\*\*]

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<sup>1</sup> Substituted the words “at least 20% percent of” by the Balochistan Finance Act No XVIII of 2025, passed by the Provincial Assembly of Balochistan on 25<sup>th</sup> June 2025, and assented to by the Governor Balochistan on 27<sup>th</sup> June 2025, and published in Gazette (Extraordinary) No. 93, dated 27<sup>th</sup> June 2025.

<sup>2</sup> Substituted the words “total cost” by the Balochistan Finance Act No. I of 2024, which was passed by the Provincial Assembly of Balochistan on 29<sup>th</sup> June 2024, and assented to by the Governor Balochistan, on 29<sup>th</sup> June 2024.

<sup>3</sup> Substituted section (1) by Balochistan Finance Act No. XVI of 2021, passed by the Provincial Assembly of Balochistan on 25<sup>th</sup> May 2021, assented to by the Governor Balochistan, on 30<sup>th</sup> May 2021, and published in Gazette (Extraordinary) No. 98, dated 31<sup>st</sup> May 2021.

<sup>4</sup> Omitted section 18 by Balochistan Finance Act No. XVI of 2021, passed by the Provincial Assembly of Balochistan on 25<sup>th</sup> May 2021, assented to by the Governor Balochistan, on 30<sup>th</sup> May 2021, and published in Gazette (Extraordinary) No. 98, dated 31<sup>st</sup> May 2021.

**<sup>1</sup>[Records and  
Utilization of all  
Public Assets.**

19. (1) Within a period not exceeding two years from the date of promulgation of this Act, the Principal Accounting Officers (PAOs) shall develop a data bank / asset management software for recording and utilization of all public assets including moveable but not limited to fixed assets in the manner as prescribed.]

(2) <sup>2</sup>[\*\*\*\*\*]

(3) Each Principal Accounting Officer <sup>3</sup>[may] send updated report of such <sup>4</sup>[all public assets] periodically as prescribed to Finance Department for compilation and other purposes but not later than 31 August following the close of current financial year.

**CHAPTER IV  
CONTROL OF PROVINCIAL CONSOLIDATED FUND  
AND PUBLIC ACCOUNT**

**Provincial  
Consolidated  
Fund.**

20. (1) All Departments, their attached departments and subordinate offices and all public entities if so required by their statutes, shall arrange remittance in the Provincial Consolidated Fund, without delay, of all revenues including all grants received by the Government, all loans raised by the Government including sub-lent loans by the federal government and all moneys received by it in repayment of any loan and all other moneys into the Public Account of the Province as required under Article 118 of the Constitution.

(2) All loans or grants made to the Government by a foreign donor agency or federal government or otherwise shall be remitted to the Provincial Consolidated Fund.

**Custody of the**

21. The operation of the Provincial Consolidated

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<sup>1</sup> Substituted Section 19 by Balochistan Finance Act No. XVI of 2021, passed by the Provincial Assembly of Balochistan on 25<sup>th</sup> May 2021, assented to by the Governor Balochistan, on 30<sup>th</sup> May 2021, and published in Gazette (Extraordinary) No. 98, dated 31<sup>st</sup> May 2021.

<sup>2</sup> Omitted sub-section (2) (see *ibid.*).

<sup>3</sup> Substituted for the words “shall” and “fixed assets register” (see *ibid.*).

**Provincial  
Consolidated  
Fund and Public  
Account of the  
Province.**

Fund and the Public Account of the Province shall vest in the Finance Department under the overall supervision of the Government.

**Expenditure from  
Provincial  
Consolidated  
Fund.**

22. (1) No authority shall incur or commit any expenditure or enter into any liability involving expenditure from the Provincial Consolidated Fund and Public Account of the Province until the same has been sanctioned by a competent authority duly empowered and the expenditure has been provided for the financial year through —

- (a) schedule of authorized expenditure;  
*or*
- (b) supplementary grant and technical supplementary grant as per Article 124 of the Constitution; *or*
- (c) re-appropriation as per section 11.

(2) No authority shall transfer public moneys for investment or deposit from government account to other bank account without prior approval from the Government.

(3) Every grant approved by the Provincial Assembly for a financial year and every other authority or sanction issued under this Act in respect of a financial year, shall lapse and cease to have any effect at the close of that financial year.

**Withholding of  
Authorized  
Appropriations.**

23. The Finance Department may, with the prior approval of the Provincial Assembly, suspend, withdraw, limit or place conditions on any budget appropriation or other authority issued by it if the Finance Department is satisfied that such action is required by reason of a financial exigency or is in the public interest.

**Excess**

24. (1) The expenditure in excess of the amount

**Expenditure.**

of budget grant as well as the expenditure not falling within the scope or intention of any budget grant, unless regularized by a supplementary grant, shall be treated as excess expenditure.

(2) Excess expenditure shall not become a charge against the Provincial Consolidated Fund except when —

- (a) The Provincial Assembly approves an additional amount equivalent to overspending as a direct charge against the Provincial Consolidated Fund as voted or charged expenditure; *or*
- (b) it decides —
  - (i) to recover the excess expenditure from the public servants who are found to be involved to incur such an expenditure. In this case, the Finance Department may take appropriate measures; *or*
  - (ii) to take disciplinary proceedings against the principal accounting officer.

(3) If the provincial Public Accounts Committee recommends the excess expenditure to stand as a charge to Provincial Consolidated Fund, then it shall be included in the statement of excess expenditure required under Article 124 of the Constitution.

**Commitment  
Control System.**

25. The Finance Department in consultation with the Auditor General shall approve and issue guidelines related to annual and multi-annual commitment control systems.

**Delegation of  
Financial Powers.**

26. The Finance Department <sup>1</sup>[, with the approval of Government, shall make rules] for the delegation of financial powers based on the following principles, namely: —

- (a) financial powers accorded to the principal accounting officers to balance financial authority with responsibility for financial propriety as per the applicable financial rules and regulations;
- (b) financial powers are accorded with the view to enhance public service delivery; *and*
- (c) allowing the principal accounting officers to delegate financial powers to subordinate officials. The delegation shall not diminish the responsibility and accountability of the principal accounting officers.

**<sup>2</sup>[Establishment  
of Specialized  
Units.**

26A. Within a period not exceeding two years from the date of commencement of this Act, the Government shall establish specialized units including but not limited to an Internal Audit, Provincial Revenues and Fiscal Policy Management, Debt Management, Risk & Investment Management and Budget Reform Management within the Finance Department having distinct roles, responsibilities, functions, powers, terms and conditions as may be prescribed.]

**Fiscal  
Management  
Targets.**

27. In particular and without prejudice to the generality of the foregoing provisions, the Government shall —

- (a) strive for achieving zero budgeting deficit through gradual annual reduction in

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<sup>1</sup> Substituted for the words “shall approve regulations” by Balochistan Finance Act No. XVI of 2021, passed by the Provincial Assembly of Balochistan on 25<sup>th</sup> May 2021, assented to by the Governor Balochistan, on 30<sup>th</sup> May 2021, and published in Gazette (Extraordinary) No. 98, dated 31<sup>st</sup> May 2021.

<sup>2</sup> A new section 26A, inserted (see *ibid.*).

deficit <sup>1</sup>[\*\*\*\*\*] ;

<sup>2</sup>[(b) The Government shall take appropriate measures to keep the Public Sector Debt and Guarantees by observing the following quantitative limits:

(i) The total stock of Public Sector Debt and Guarantees shall not, at any time, exceed 200% of the average revenue of three preceding financial years.

(ii) The Government Debt and Guarantees shall not, at any time, exceed 160% of the average revenue of three preceding financial years;

(iii) The public corporations (autonomous bodies, regulatory authorities & others) Debt and Guarantees shall not, at any time, exceed 40% of the average revenue of three preceding financial years.

(iv) interest expense on Government Debt shall not, in any financial year, exceed 15% of the average revenue of three preceding financial years.]

(c) also strive for an annual gradual decrease in the percentage of non-development expenditure, with a specific preference to expenditure for pay and allowances and its related expenditure and increase development expenditure

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<sup>1</sup> Omitted the words “by Rs.10 billion” by Balochistan Finance Act No. XVI of 2021, passed by the Provincial Assembly of Balochistan on 25<sup>th</sup> May 2021, assented to by the Governor Balochistan, on 30<sup>th</sup> May 2021, and published in Gazette (Extraordinary) No. 98, dated 31<sup>st</sup> May 2021.

<sup>2</sup> Substituted clause (b) by the Balochistan Finance Act No XVIII of 2025, which was passed by the Provincial Assembly of Balochistan on 25<sup>th</sup> June 2025, and assented to by the Governor Balochistan on 27<sup>th</sup> June 2025., and published in Gazette (Extraordinary) No. 93, dated 27<sup>th</sup> June 2025.

with the same ratio.

**<sup>1</sup>[Assessment and  
upgradation of  
Public Financial  
Management  
(PFM) System.]**

27A. (1) For continuous upgradation of the PFM System in line with the international standards and best practices, the Finance Department shall carry out an assessment of its Public Financial Management System in accordance with the international Public Expenditure and Financial Accountability (PEFA) framework on a regular basis.

(2) The assessment shall be carried out at least once in every three years through a qualified and independent organization.

(3) The assessment report shall be presented to the Government and shall be subject to consequential public disclosure.]

**<sup>2</sup>[Fiscal Risk  
Management  
Framework.-**

27B. (1) The Finance Department shall prepare a Fiscal Risk Statement on an annual basis along with the revisions in the same from time to time and submit it to the Government for approval.

(2) The Statement shall contain information on:

- (a) major sources of risk that can result in significant deviations between actual and expected fiscal outcomes;
- (b) estimates of Tax Expenditure for the next financial year prepared with the assistance of all Departments and agencies engaged in collection of taxes;
- (c) fiscal risks posed by explicit as well as implicit contingent liabilities;
- (d) compliance status of fiscal and

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<sup>1</sup> A new section 27A, inserted by the Balochistan Finance Act No XVIII of 2025, which was passed by the Provincial Assembly of Balochistan on 25<sup>th</sup> June 2025, and assented to by the Governor Balochistan on 27<sup>th</sup> June 2025, and published in Gazette (Extraordinary) No. 93, dated 27<sup>th</sup> June 2025.

<sup>2</sup> A new section 27B inserted (see *ibid.*).

debt rules contained in this Act along with the relevant figures, and, in case of non-compliance, the reasons thereof.

- (e) assessment of the implementation status and effectiveness of the Fiscal Risk Management Framework; and,
- (f) measures needed to strengthen the management of fiscal risks.]

## **CHAPTER V**

### **TREASURY MANAGEMENT**

#### **Cash Management.**

28. (1) The Finance Department, with the approval of the Government, shall notify policy and rules under this Act to prescribe an effective cash management system for all public entities and special purpose funds leading to treasury single account. Fundamental principles and objectives of such policy and rules shall be —

- (a) to anticipate cash needs of Government;
- (b) to ensure availability of cash when it is required;
- (c) to manage cash balance in the Government bank accounts effectively; *and*
- (d) to neutralize impact of the Government's cash flows on the domestic banking sector.

(2) the policy and rules under this section, inter alia, shall provide for —

- (a) establishing institutional and administrative arrangements needed to manage an effective cash management system;



- (b) availability of funds in accordance with schedule of authorized expenditure or supplementary grant;
- (c) availability of foreign exchange, where required, from within the allocation of foreign exchange sanctioned for the Departments concerned;
- (d) placement of all public moneys into the treasury single account;
- (e) quarterly revenue, expenditure, cash requirement and debt plan within sanctioned budget;
- (f) gradual expansion of budgetary and accounting framework to all autonomous entities;
- (g) usage of idle cash of the autonomous entities;
- (h) require all principal accounting officers to provide the information deemed necessary for effective operation of the cash management and treasury single account system. This may include the unused cash balances of any entity operating under the administrative control of that principal accounting officer; *and*
- (i) The Finance Department, with the approval of Government, may advise, in writing, the State Bank of Pakistan to direct all conventional and non-conventional banks and other financial institutions, to debit their bank accounts and credit the same into Provincial Consolidated

Fund for purposes of formulation and management of single treasury account system.

**Government  
Banking  
Arrangements.**

29. (1) The Government shall maintain its Provincial Consolidated Fund Account in the State Bank of Pakistan and it may open its such other bank accounts as may be required by the Finance Department, from time to time, in accordance with the State Bank of Pakistan Act, 1956 (XXXIII of 1956).

(2) These accounts shall be operated by such authorized signatories as may be prescribed by the Finance Department.

(3) For the purpose of effective financial management and taking corrective measures to ensure financial discipline, all banks in Pakistan shall provide such information of all accounts maintained by Departments, attached departments and subordinate offices and public entities as shall be required by the Finance Department, from time to time, through State Bank of Pakistan.

(4) Finance Department may give any instructions, in respect of regulating and operating the bank accounts pertaining to provincial consolidated fund and public account, to State Bank of Pakistan or any other bank acting on its behalf.

**CHAPTER VI  
SPECIAL PURPOSE FUNDS**

**Special Purpose  
Funds.**

30. (1) If monies have been appropriated by the Provincial Assembly to establish a fund, the Finance Department shall notify rules or regulations and issue directives for the management and control of such a fund. Any statutory instrument shall —

- (a) state the purposes for which the special fund has been established;

- (b) revenue generation capacity of such fund as a source of provincial revenues and transfer of such proceeds into provincial consolidated fund;
- (c) identify the principal accounting officer responsible for its operations; *and*
- (d) specify that the cash balances of such funds shall form part of Public Account of the Province.

(2) Such funds shall be subject to audit by the Auditor-General of Pakistan.

(3) Where the Government is satisfied that either —

- (a) the purposes for which any special fund was established have been fully served; *or*
- (b) it is in the public interest to wind up a special fund, it shall notify dissolution of the said special fund and any credit balances in such fund shall be transferred to the Provincial Consolidated Fund. An evaluation report and regulation of such funds shall be notified by the Finance Department.

## **CHAPTER VII**

### **ACCOUNTING AND REPORTING**

#### **Accounts of the Province.**

31. The Accountant General, Balochistan shall prepare Financial Statements and Appropriation Accounts of the province in accordance with Accounting Framework as prescribed by the Auditor General of Pakistan.

#### **Pre-audit and**

32. (1) The Finance Department, with the

**Payments of  
expenditure from  
the Provincial  
Consolidated  
Fund Account.**

approval of Government, may delegate powers for pre-audit and authorization of expenditure from the Provincial Consolidated Fund Account to the Accountant General, Balochistan or District Account Officers, as it deems appropriate;

(2) The Finance Department, with the approval of Government, shall delegate following functions to the Accountant General, Balochistan at provincial level and to District Account Officers at district level:-

- (a) collection and record keeping of subscription of Government employees towards General Provident Fund, Group Insurance, Benevolent Fund and any other employee contributory scheme notified by the Government;
- (b) settlement and authorization of payment of General Provident Fund or any other employee contributory scheme authorized by the Finance Department with the approval of Government;
- (c) Preparation of Government employee salary-slips including fixation of pay as prescribed by the Government;
- (d) Preparation, record keeping and endorsement of work/ development cheques;
- (e) Record keeping and maintaining accounts of receipts of the province;
- (f) Verification of service books; *and*
- (g) Opening of assignment accounts on the advice of Finance Department.

(3) The District Accounts Officers shall report monthly accounts to Accountant General, Balochistan for compilation and preparation of the consolidated monthly, quarterly, bi-annual and annual accounts of the province.

(4) The Accountant General, Balochistan shall prepare and report monthly, quarterly, bi-annual and annual accounts including Financial Attest Audit Report to Finance Department.

**Mid-year  
Reporting of  
Budget  
Developments.**

33. By twenty-eighth February each year, the Government shall place mid-year review report before the Provincial Assembly. The report shall provide budget and actual comparison of revenues, expenditure and financing.

**CHAPTER VIII  
PUBLIC ENTITIES**

**Public Entities.**

34. (1) Where —

- (a) any board, commission, company, corporation, trust or other fund or account is established by or under any law which is fully or substantially funded either from the Provincial Consolidated Fund or by way of taxes, levies, duties or other public monies accruing to it in terms of any laws; *or*
- (b) any entity other than a state enterprise is established by or under any law, the activities of which may result in a financial commitment or other liability being incurred by the Government, the Government may declare such entity to be a public entity for the purposes of this Act.

(2) The Government shall, by notification in

the official Gazette, classify public entities as —

- (a) Government's business enterprises, including public limited companies or registered companies under the law regulating companies or banking; *or*
- (b) autonomous entities, which include all public entities that are not Government's business enterprises, which have been established to provide regulatory, research, development and training or are producing goods or services on non-commercial basis.

(3) The Finance Department shall be responsible for notifying the policy framework and guidelines for financial management of Government's business enterprises and autonomous entities, including those related to internal controls, borrowing, cash management, accounting, reporting and external audit.

**Self-generated  
Revenues.**

35. The Finance Department shall, with approval of the Government, notify policy and guidelines and may issue regulations on the utilization of revenues generated by autonomous entities which may arise from any act or statutory instrument of the government.

Preparation of  
Accounts.

36. (1) Financial Statements including detailed accounts of its financial affairs of Government's business enterprises shall be prepared in accordance with the provisions of the relevant law. Copy of the annual audited financial statements shall be made available to the Finance Department within three months of their certification.

(2) Financial Statements including detailed accounts of its financial affairs of autonomous entities shall be prepared in accordance with

instructions issued by the Finance Department. Copy of annual audited financial statements and auditor's certificate in respect of any other statement if required, shall be made available to the Finance Department within three months of their finalization.

(3) Audited financial statements and annual accounts referred to in sub-section (1) and sub-section (2) shall be laid before Provincial Assembly along with other accounts of Government not later than one month after the same are submitted by Auditor-General, except that, if Provincial Assembly is not in session, then the accounts shall be laid before it on the first day of the following session.

(4) Any reports laid before Provincial Assembly under sub-section (3) shall be referred to the Public Accounts Committee of Provincial Assembly.

**Audit.**

37. (1) The audit of all public business enterprises shall be in accordance with the provisions of the relevant law.

(2) The audit of autonomous entities classified shall be in accordance with instructions issued by the Auditor-General.

**Dissolution of  
Public Entity.**

38. Where the public entity established under any law or legal instrument stands dissolved or has been wound up, any monies or other resources standing to the credit of the public entity at the time of dissolution or winding up shall be paid into the Provincial Consolidated Fund.

**CHAPTER IX  
REMOVAL OF DIFFICULTY AND POWER TO MAKE  
RULES**

**Removal of  
Difficulty.**

39. If any difficulty arises in giving effect to the provisions of this Act, Government may make such order, not inconsistent with the provisions of this Act,

as it may consider necessary for removal of such difficulty.

**Power to make Rules.**

40. (1) The Government may, by notification in the official Gazette, make rules<sup>1</sup> for carrying out the purposes of this Act.

(2) All existing instruments shall continue in force <sup>2</sup>[:

provided that existing instruments, contrary to the provisions of this Act and the rules made thereunder, shall have no legal effect.]

(3) Without prejudice to anything contained in this Act, the existing instruments shall include <sup>3</sup>[but not limited to the following] —

- (a) The General Financial Rules;
- (b) Federal Treasury Rules;
- (c) Fundamental Rules and Supplementary Rules;
- (d) Civil Service Regulations;
- (e) Provident Fund Rules;
- (f) Civil Pension Rules;
- (g) Methods and procedures prescribed by the Auditor-General of Pakistan with reference to deposit and withdrawal of public money;
- (h) Public Works Department Code;
- (i) the New System of Financial Control and Budgeting, 2018;

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<sup>1</sup> For “the Balochistan Grant in Aid Rules, 2022” refer to Notification No. FD.So(Reg-II)/II-5/Policy/2023/933-1083 dated 27<sup>th</sup> November 2023, issued by the Government of Balochistan, Finance Department, and published in Gazette (Extraordinary) No. 224, dated 27 November, 2023.

<sup>2</sup> Substituted the words for the words, the colon and the proviso “until altered, amended or repealed by such authority competent to alter, amend or repeal the same” by Balochistan Finance Act No. XVI of 2021, passed by the Provincial Assembly of Balochistan on 25<sup>th</sup> May 2021, assented to by the Governor Balochistan, on 30<sup>th</sup> May 2021, and published in Gazette (Extraordinary) No. 98, dated 31<sup>st</sup> May 2021.

<sup>3</sup> Added the words (see *ibid.*).



- (j) the Central Public Works Account Code;
- (k) the New Accounting Model including Accounting Policies and Procedures Manual;
- (l) other Financial Regulations consistent with the above rules; *and*
- (m) all amendments, schedules, manuals, notifications, forms, appendixes, orders, circulars, codes, instructions, directives, guidelines, clarifications and any other supplementary legal instruments relating to any of those rules, in each case as in force in the Government before commencement of this Act.

(4) All the existing public finance management and administration including the rules, regulations and all amendments, schedules, manuals, notifications, forms, appendixes, orders, circulars, codes, instructions, directives, guidelines, clarifications and any other supplementary legal instruments relating to any of those rules, in each case as in force in the Government before commencement of this Act shall be made consistent with this Act through appropriate amendments where required.

**<sup>1</sup>[Power to make Regulations.**

40A. Subject to this Act and the rules made thereunder, the Finance Department may frame regulations for giving effect to the provisions of this Act and the rules made thereunder.]

**Budget Manual.**

41. Within a period of one year from

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<sup>1</sup> A new section 40A inserted by Balochistan Finance Act No. XVI of 2021, passed by the Provincial Assembly of Balochistan on 25<sup>th</sup> May 2021, assented to by the Governor Balochistan, on 30<sup>th</sup> May 2021, and published in Gazette (Extraordinary) No. 98, dated 31<sup>st</sup> May 2021.

commencement of this Act, the Finance Department shall approve a budget manual, to be published as well as placed on the Government's website.

**Implementation  
and  
Improvement.**

42. The Government shall constitute a committee to oversee implementation of this Act and its secondary legislation. The committee shall also enlist international best practices of the public finance management and shall recommend improvements in this Act and its secondary legislation from time to time.

**Overriding  
Effect.**

43. This Act shall have overriding effect over all other laws and any law inconsistent with this Act in contradiction with this Act shall be amended to the extent of the inconsistency.

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